

United Kingdom: Burnham's North Sea Gamble and the Rosebank-Jackdaw Test

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Executive Summary

Andy Burnham's rise to Downing Street in July 2026 was itself a political earthquake — a sitting prime minister forced out by his own MPs and replaced, without a general election, by a figure who had spent nearly a decade outside Westminster as Mayor of Greater Manchester. Four months into his premiership, Burnham faces his first major test of governing competence: whether to approve the Rosebank and Jackdaw North Sea oil and gas fields, both stuck in regulatory limbo since a 2025 court ruling found their original consents unlawful. The decision sits at the intersection of energy security, climate commitments, Scottish jobs, and Labour's internal coherence — and a first ruling could land within days of this briefing being written.

Risk Summary

RISK AREA	DIRECTION (3-MONTH)	LIKELIHOOD
Jackdaw consent approval	Increasingly likely, imminent	HIGH
Rosebank consent approval	Likely but slower, contested	MEDIUM-HIGH
Intra-Labour rupture over climate policy	Rising	MEDIUM
Legal re-challenge by campaigners	Elevated if approved	MEDIUM
Burnham government stability (3-month)	Stable but untested	LOW-MEDIUM

Ratings reflect a 3-month forward view as of September 2026 and are directional judgements, not formal probability estimates.

1. How Burnham Got Here

Keir Starmer resigned as Labour leader and prime minister on 22 June 2026 after a sustained loss of confidence among his own MPs, triggered by poor local election results in May and mounting dissatisfaction with his government's direction. Burnham, who had been blocked from standing for the leadership in previous contests because Labour rules require candidates to be sitting MPs, engineered his return to Parliament via a by-election just weeks before Starmer's resignation. He was nominated by over 94% of Labour MPs — a wider margin than Gordon Brown's uncontested succession in 2007 — and became prime minister on 20 July 2026, the seventh person to hold the office in a decade. His premiership began with a deliberate break from Starmer: policy signals within days on North Sea energy and public control of Thames Water, aimed at demonstrating change quickly.

2. The Rosebank and Jackdaw Decision

Jackdaw (a Shell/Equinor gas field east of Aberdeen) and Rosebank (Britain's largest untapped oil field, west of Shetland) were both approved under the previous Conservative government, only for the Court of Session to quash those consents in January 2025 on the grounds that environmental assessments had failed to account for "Scope 3" emissions — the carbon released when the extracted fuel is eventually burned. Fresh environmental impact assessments were submitted under court order, with public consultations on Jackdaw closing 10 August and Rosebank on 17 August 2026. The final decision rests with Energy Secretary Miatta Fahnbulleh. As of early September, government and industry sources suggest formal consent for Jackdaw could arrive within weeks, with Rosebank's decision — a larger and more contested project — expected to follow separately, on no confirmed timeline.

Notably, Burnham's position is narrower than a wholesale reversal of Labour's energy policy: the government has maintained its manifesto commitment not to issue *new* exploration licences, while moving to approve development of fields that were already licensed and under construction before the court intervened. This distinction matters for how the decision is likely to be read politically and legally, but is easily lost in public debate, where it is frequently framed as "Burnham backing new North Sea drilling."

3. The Political Fault Lines

The decision has exposed real fractures. Industry body Offshore Energies UK argues the two projects represent £10.8 billion in investment and would support over 3,500 jobs at peak construction, framing approval as essential for energy security and the UK's fossil fuel-dependent supply chain. Scottish Conservatives have gone further, describing continued delay as potentially "life or death" for the North Sea industry. On the other side, senior Labour figures — including former Energy Secretary Ed Miliband, who previously called the Rosebank licence "climate vandalism" — remain opposed, and environmental campaigners including Greenpeace and Uplift, who brought the original legal challenge, are positioned to challenge any fresh approval in

court again. The Green Party has directly linked the decision to the summer's extreme heatwaves. Commentary has also floated a more cynical read: that the move is partly aimed at blunting Reform UK's appeal to working-class, pro-drilling voters ahead of the next election, expected in 2029.

4. What to Watch

- **Jackdaw formal consent** — the North Sea Transition Authority's decision, tipped for mid-September, is the nearest-term signal of how the government will balance climate and energy security arguments.
- **Rosebank's separate timeline** — energy minister Michael Shanks has explicitly said there is no fixed deadline, suggesting the government may deliberately stagger the two decisions to manage political fallout.
- **A third legal challenge** — given the precedent of the 2025 Court of Session ruling, any approval that campaigners judge legally vulnerable is likely to be challenged again quickly.
- **Cabinet cohesion** — how vocally figures like Miliband continue to oppose the policy, and whether backbench unease translates into anything beyond public criticism.

Forecast Watch

This is a genuinely forecastable near-term event, and one I'm tracking on Artemis: **will the North Sea Transition Authority issue formal consent for the Jackdaw gas field before 1 October 2026?** Given consultation closure, ministerial signalling, and reported timelines pointing to "mid-September," I'd currently put this at roughly 75-80% likely — high, but with meaningful tail risk from a further legal challenge or cabinet-level delay. Rosebank is a separate, lower-confidence question given the absence of any stated deadline.

Bottom Line

Burnham inherited a decision his predecessor spent over a year avoiding, and how he resolves it will say more about his premiership's character than any speech. Approving Jackdaw and Rosebank would signal a pragmatic, energy-security-first Labour government willing to absorb criticism from its own left flank; further delay would suggest a government still finding its footing. Either way, the outcome is close enough in time to be genuinely forecastable rather than merely debatable — which is what makes it a useful test case.

Sources: Bloomberg, Al Jazeera, NPR, Offshore Magazine, Energy Voice, The Scotsman, Offshore Energies UK, Institute for Government, Nouse, Wikipedia. Prepared as an independent analytical exercise for portfolio purposes; not for investment or policy use.